

# Retail Customer Churn Analysis

Understanding customer behaviour. Driving retention.



## 1. Business Problem

The retail business is facing customer churn, which leads to loss of revenue, higher acquisition costs and reduced long-term customer value. The goal is to understand churn patterns, identify key drivers and recommend data-driven retention strategies.



## 2. Dataset

- **Total customers:** 100,000
- **Time period:** 1 year
- **Features:** customer demographics, behaviour, purchase history, engagement, loyalty, etc.



Better  
Insights →  
Stronger  
Retention



## 3. Key Metrics



100,000

Total customers



46,224

Churned customers



53,776

Retained customers



46.22%

Overall churn rate



## Executive Takeaway

Almost half of the customers (46.22%) have churned. The analysis shows that recency, cart abandonment and loyalty are the strongest behavioural drivers of churn, with significant differences in risk across customer groups.



## Why It Matters

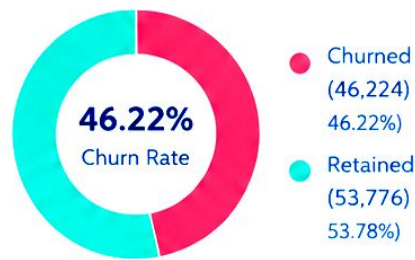
- ✓ Helps reduce revenue loss and acquisition costs.
- ✓ Enables focused retention strategies for high-risk segments.
- ✓ Builds a stronger, more loyal customer base for long-term growth.

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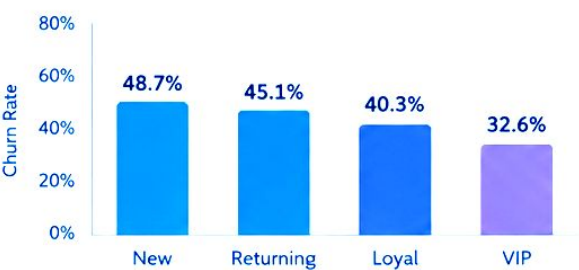
# Where Is Churn Happening?

How large is the churn problem and which customer groups show differences?

### Overall Churn Rate



### Churn by Customer Segment



### Key Insights

- The overall churn rate is 46.22%, meaning nearly 1 in 2 customers have churned.
- New customers have the highest churn rate (48.7%), followed by returning (45.1%) and loyal (40.3%).
- VIP customers show the lowest churn rate (32.6%).

### Recency Analysis (Strongest Finding)



### Business Implication

Reactivation campaigns should focus on customers who have been inactive for more than 90 days, as they are at the highest risk of churning.



### Executive Takeaway

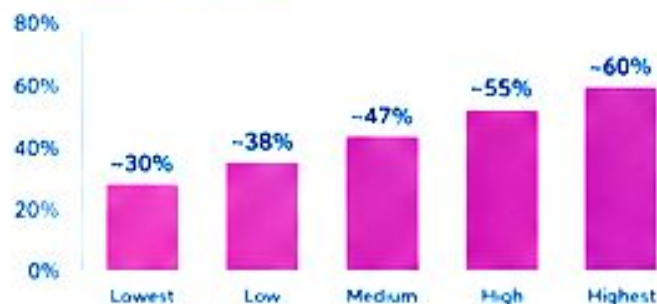
While churn affects almost half of the customer base, the biggest opportunity lies in re-engaging inactive customers and improving retention among new and returning customers.

## 3

## Behavioural Signals

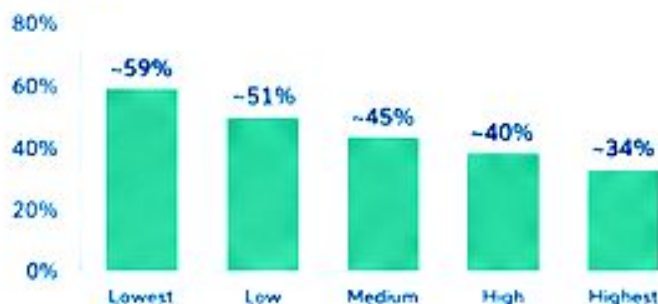
Which behaviours are associated with higher churn?

### Cart Abandonment



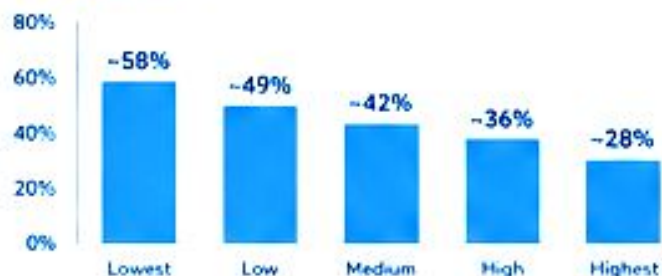
**Insight:** Churn increases from ~30% to above 60% across the lowest to highest cart-abandonment groups

### Loyalty



**Insight:** Churn decreases from ~59% to ~34% across the lowest to highest loyalty groups.

### Engagement



**Insight:** Lower engagement is associated with higher churn rates.

### Behavioural Comparison (Churned vs Retained)



**Insight:** Churned customers show higher recency and cart abandonment, with lower loyalty, engagement and average spend.

## 4

## From Insights to Action

What should the business do with these findings?

### Retention Priority Framework

Based on weighted behavioural factors



### Priority Levels

| Level                                        | Criteria (example)                            |
|----------------------------------------------|-----------------------------------------------|
| <span style="color: red;">●</span> Critical  | High recency + High abandonment + Low loyalty |
| <span style="color: orange;">●</span> High   | Moderate-high risk on 2 factors               |
| <span style="color: orange;">●</span> Medium | Moderate risk                                 |
| <span style="color: green;">●</span> Low     | Low risk across all factors                   |



### Recommended Retention Actions

- 1 Build recency-triggered retention (re-engagement emails, offers).
- 2 Target repeat cart-abandonment behaviour (reminders, incentives, free shipping).
- 3 Strengthen engagement & loyalty initiatives (personalization, rewards, exclusive offers).
- 4 Monitor high-value customers showing risky behaviour.
- 5 Use insights to improve product experience and reduce frictions.



### Success Metrics

- Reactivation rate
- Repeat purchase rate
- Incremental revenue
- Retention cost
- Customer lifetime value (CLV)



### Limitations & Next Steps

- This is an analytical prioritization framework, not a predictive ML model.
- Observed relationships are associations, not causation.
- Next step: build a churn prediction model and test retention strategies (A/B testing).